

FINTRUST BANK LIMITED

Retail Lending Group

PERSONAL LOAN POLICY

Policy Document | Version 7.2

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CLASSIFICATION: INTERNAL

FinTrust Bank Limited is a fictional institution. This document is synthetic material created for demonstration and training purposes and has no legal effect.

Document Control

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Status of this document. This Policy is an internal document of FinTrust Bank Limited. It states the Bank's own standards and the manner in which its staff and agents are required to act. It is not a contract with any borrower. The contractual relationship between the Bank and a borrower is governed by the sanction letter, the loan agreement and the Key Facts Statement. Where those documents are silent, or are less favourable to the borrower than this Policy, this Policy shall guide the Bank's conduct.

Monetary references. All amounts are expressed in Indian Rupees and are indicative for the purposes of this Policy. The rates, charges and thresholds applicable to a particular loan are those disclosed in the Key Facts Statement issued to that borrower, which prevails over the indicative figures reproduced in this document. A charge not disclosed in that Statement is not recoverable.

Interpretation. Words importing the singular include the plural and words importing one gender include every gender. A reference to a Section is a reference to a Section of this Policy. A reference to a borrower includes a co-applicant where the context requires. Headings are for convenience only and do not affect interpretation.

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1. Purpose and Objectives

1.1 Purpose

This Personal Loan Policy ("the Policy") establishes the principles, standards and operating rules governing the origination, appraisal, sanction, documentation, disbursement, servicing, monitoring, collection and closure of personal loans by FinTrust Bank Limited ("FinTrust" or "the Bank"). A personal loan is an unsecured term loan extended to an individual for a lawful personal purpose, repayable in equated monthly instalments over a fixed tenure.

1.2 Position in the Policy Framework

This is the Bank's first asset-side product policy in the retail suite. The deposit and card policies govern products under which the Bank holds the customer's money or provides access to it; this Policy governs a product under which the Bank lends its own money to the customer. The obligations of disclosure, fair conduct, confidentiality and grievance redressal are common across both, but the risk runs in the opposite direction, and the appraisal, monitoring and collection provisions of this Policy have no counterpart on the liabilities side.

Where a personal loan is disbursed into a deposit account maintained with the Bank, that account continues to be governed by the applicable account policy. Where repayment is collected by debit to such an account, the debit is governed by Section 12 of this Policy and by the mandate provisions of the applicable account policy.

1.3 Objectives

- To ensure that a loan is sanctioned only where the borrower has the capacity to repay it from assessed income, and that the assessment is documented and independently reviewable.
- To ensure that the borrower is told the full cost of the loan, expressed as an annual percentage rate inclusive of all charges, before being asked to commit.
- To ensure that no charge, insurance product or ancillary service is imposed on a borrower without informed and separately recorded consent.
- To ensure that delinquency is recognised promptly and honestly, and that classification is driven by the record of the account rather than by commercial preference.
- To ensure that collection is conducted with dignity, within stated hours, and without harassment of the borrower or of any person connected with the borrower.
- To ensure that a borrower in genuine difficulty is offered a fair opportunity to restructure before enforcement.
- To ensure that credit information is reported accurately and corrected promptly when it is not.

1.4 Guiding Principles

Ability to repay, not willingness to borrow. A loan is sanctioned on the basis of assessed repayment capacity. Demand for credit is not evidence of capacity to service it.

Full cost disclosed once, in one place. Every cost of the loan appears in the Key Facts Statement. A cost not disclosed there is not recoverable.

Consent is separate and specific. Consent to a loan is not consent to insurance, to a top-up, to a change in limit, or to marketing.

Conduct in collection is not negotiable. Section 17 admits of no exception, however large the exposure or however protracted the default.

2. Scope and Applicability

2.1 Scope

This Policy applies to all unsecured personal loans denominated in Indian Rupees sanctioned to individuals by any domestic branch or digital channel of FinTrust Bank Limited, and to all loan variants listed in Section 5.

2.2 Persons Bound by the Policy

The Policy binds all employees of the Bank; all direct selling agents, business correspondents, lending service providers, digital lending applications and collection agents engaged by the Bank in relation to personal loans; and all third parties operating branded or co-branded FinTrust lending channels. Obligations placed on such parties shall be incorporated into the agreement executed with them under Section 11.

2.3 Exclusions

This Policy does not govern:

- Secured retail loans, including home loans, loans against property, gold loans, vehicle loans and loans against securities, which are governed by their respective product policies.
- Overdrafts against a deposit account, including the overdraft against salary in the Salary Account Policy, which are governed by the Credit Policy.
- Credit card outstandings and instalment conversions on a credit card, which are governed by the Credit Card Policy and the customer-facing Credit Card Terms and Conditions.
- Education loans, which are governed by the Education Loan Policy.
- Loans to entities of any constitution, and loans for business purposes to individuals, which are governed by the Business Lending Policy. Where an individual applies for a loan and the stated purpose is a business purpose, the application shall be routed to that policy and shall not be processed under this one.
- Loans to staff of the Bank, which are governed by the Staff Advances Policy.

2.4 Conflict and Precedence

In the event of conflict between this Policy and any statutory provision, regulatory direction or judicial order, the latter shall prevail and the Policy shall be deemed amended to that extent from the date the external requirement takes effect. In the event of conflict between this Policy and any internal circular, this Policy shall prevail unless the circular expressly records that it has been approved as an amendment under Section 22.

3. Definitions

Annual Percentage Rate (APR) means the all-inclusive annual cost of credit to the borrower, expressed as a percentage, computed to include the rate of interest and every fee, charge and cost payable to the Bank or to any third party on the Bank's behalf, but excluding contingent charges such as penal charges and bounce charges.

Days Past Due (DPD) means the number of days for which any amount due under the loan has remained unpaid, counted from the due date.

Debt Burden Ratio (DBR) means the ratio of the borrower's total monthly obligations, including the instalment on the proposed loan, to the borrower's assessed net monthly income.

Digital Lending Application means a mobile or web application through which a loan may be applied for, sanctioned or serviced, whether operated by the Bank or by a lending service provider on its behalf.

Equated Monthly Instalment (EMI) means the fixed monthly amount payable by the borrower, comprising interest and principal, computed so as to repay the loan in full over the tenure.

Key Facts Statement (KFS) means the standardised statement of the key terms of the loan, including the annual percentage rate, furnished to the borrower under Section 9.

Lending Service Provider (LSP) means an agent engaged by the Bank to perform one or more of customer acquisition, underwriting support, pricing support, servicing, monitoring or recovery, on the Bank's behalf.

Look-up Period means the period during which a borrower may exit a digitally sourced loan without penalty, under paragraph 11.6.

Non-Performing Asset (NPA) means a loan in respect of which interest or principal has remained overdue for more than ninety days.

Penal Charge means a charge levied on default in performance of a term of the loan, which is a charge and not a component of the rate of interest.

Special Mention Account (SMA) means a loan showing incipient stress, classified under paragraph 15.3.

Tenure means the period over which the loan is repayable, running from the date of the first instalment.

4. Governance and Regulatory Framework

4.1 Regulatory Basis

Personal loans are extended by FinTrust under the licence granted to it as a banking company and are subject to directions issued from time to time by the banking regulator, including directions on the fair practices code for lenders, the display of the annual percentage rate and the Key Facts Statement, the treatment of penal charges, income recognition and asset classification, digital lending, outsourcing of financial services, the engagement of recovery agents, and the reporting of credit information.

4.2 Policy Ownership

The Retail Lending Group is the owner of this Policy. The Head of Retail Lending is accountable for its accuracy, currency and internal consistency. The Chief Risk Officer is accountable for the credit standards in Section 8 and the classification standards in Section 15.

4.3 Approval Authority

This Policy is approved by the Board of Directors on the recommendation of the Risk Management Committee. Board approval is required for adoption of the Policy, for any amendment to Sections 1, 8, 15, 16, 17 and 22, for the introduction or withdrawal of a loan variant, and for any change to the maximum debt burden ratio in paragraph 8.4. The Asset and Liability Committee approves the interest rate methodology. The Product and Pricing Committee may approve individual rates within that methodology and the charges in Section 9.

4.4 Three Lines of Defence

Line	Function	Primary responsibility
First	Branches, digital channel, credit underwriting, loan operations, collections	Correct application of the Policy; appraisal quality; conduct in collection
Second	Credit Risk, Compliance, Operations Risk, Legal	Credit standards, classification integrity, monitoring, thematic testing, exception governance
Third	Internal Audit	Independent assurance, including credit audit and classification verification

4.5 Exceptions

Any departure from a provision of this Policy constitutes an exception and requires prior written approval from the authority specified in Section 22. Exceptions shall be recorded in the Exception Register maintained by Compliance, shall specify a validity period not exceeding twelve months, and shall be reported in aggregate to the Risk Management Committee each quarter. No exception may be granted to Section 15, Section 16, Section 17 or paragraph 9.5.

5. Product Structure and Variants

5.1 Product Catalogue

Code	Variant	Purpose	Amount range	Tenure
PL-STD	FinTrust Personal Loan	Any lawful personal purpose	Rs. 50,000 to Rs. 25,00,000	12 to 72 months
PL-SAL	FinTrust Salary Advance	Short-term need, salary account holders	Rs. 25,000 to Rs. 5,00,000	3 to 24 months
PL-TOP	FinTrust Top-up Loan	Additional borrowing on an existing loan	Up to the original sanctioned amount	Residual tenure of the base loan
PL-BAL	FinTrust Balance Transfer	Takeover of a personal loan from another lender	Rs. 1,00,000 to Rs. 25,00,000	12 to 72 months
PL-MED	FinTrust Medical Loan	Medical treatment expenses	Rs. 25,000 to Rs. 10,00,000	6 to 60 months

5.2 Purpose

A personal loan may be extended for any lawful personal purpose. The purpose shall be recorded in the application. The Bank shall not sanction a loan where the stated purpose is speculative investment, the repayment of a loan classified as fraud or wilful default, any activity prohibited by law, or a business purpose falling within paragraph 2.3.

5.3 Salary Advance

The Salary Advance variant is available to holders of a FinTrust salary account who meet the conditions in the Salary Account Policy, on the basis of the salary credit record held by the Bank. Sanction under this variant does not dispense with the appraisal in Section 8, but the income verification may be satisfied by the salary credit record alone.

5.4 Top-up Loan

A top-up may be sanctioned on an existing personal loan that has run for at least twelve months without any instalment having been overdue. A top-up is a fresh loan requiring fresh appraisal, a fresh Key Facts Statement and fresh consent. A pre-approved top-up offer shall not be disbursed without the borrower's express acceptance given after receipt of the Key Facts Statement.

5.5 Balance Transfer

Where a loan is taken over from another lender, disbursement shall be made directly to that lender against a statement of the amount outstanding, and only the balance, if any, shall be released to the borrower. The Bank shall obtain confirmation of closure from the transferor lender and shall place it on the loan file.

5.6 Medical Loan

The Medical Loan variant carries a lower processing fee and permits disbursement directly to a hospital or treatment provider on the borrower's instruction. The Bank shall not require evidence of the treatment as a condition of sanction where the borrower asks for disbursement into the borrower's own account, and shall not seek any medical record from the borrower or from any provider.

6. Eligibility

6.1 Eligible Borrowers

An applicant is eligible where the applicant:

- Is an individual aged twenty-one years or above at application, and not more than sixty years at the scheduled maturity of the loan, or sixty-five years where the assessed income continues beyond sixty.
- Is resident in India, or holds a category of residency the Bank accepts for unsecured lending.
- Has a verifiable and regular source of income meeting the minimum in paragraph 6.3.
- Meets the credit standards in Section 8.
- Has completed customer due diligence to the standard applicable under the Savings Account Policy.

6.2 Ineligible Applicants

A loan shall not be sanctioned to an applicant who is classified as a wilful defaulter; who is associated as a proprietor, partner or director with an account classified as fraud or wilful default; who appears on a designated sanctions list; whose stated purpose falls within paragraph 5.2; who declines to furnish the information or documentation required under Section 7; or in respect of whom the Bank holds a record of a settlement or write-off, unless sanction is approved by the Head of Retail Lending with reasons recorded.

6.3 Minimum Income

Employment category	Minimum net monthly income	Minimum vintage
Salaried, Category A employer	Rs. 20,000	6 months in current employment
Salaried, other employer	Rs. 25,000	12 months in current employment
Self-employed professional	Rs. 30,000 assessed	2 years of practice
Self-employed, business income	Rs. 35,000 assessed	3 years of filed returns
Pensioner	Rs. 20,000	Pension credited for 6 months

Employer categories are those in the Salary Account Policy. Income thresholds may be varied by the Product and Pricing Committee and shall be applied uniformly within a category.

6.4 Number of Loans

An individual may hold not more than two personal loans with the Bank at any time, inclusive of a top-up. This limit may not be exceeded by way of exception.

6.5 Non-Discrimination

The Bank shall not decline an application, or vary its terms, by reference to any characteristic unrelated to creditworthiness. Where an application is declined, the principal reason shall be recorded, and where the decision relied on a credit information report the applicant shall be told which credit information company supplied it.

7. Application, Documentation and Verification

7.1 Channels

An application may be made at a branch, through the Bank's digital lending application, through internet or mobile banking, or through a lending service provider engaged under Section 11. The standard of appraisal and documentation is identical across channels.

7.2 Documentation

The applicant shall furnish the documents listed in Annexure A for the applicable employment category, together with identity and address documents, a photograph, the permanent account number, and bank statements for the preceding six months for accounts not maintained with the Bank.

7.3 Verification of Income

Income shall be verified from independent sources and not from the applicant's declaration alone. Acceptable sources are salary credits observed in a bank statement, salary slips corroborated by bank statements, income tax returns with computation, audited financial statements, and pension payment records. Where sources conflict, the lower figure shall be adopted and the reason recorded.

7.4 Verification of Employment and Residence

Employment shall be verified independently of documents furnished by the applicant, by contact with the employer or from an authorised database. Residence shall be verified from the officially valid document, and a field visit shall be conducted where the assessed income is above Rs. 1,00,000 per month, where the applicant is self-employed, or where the application is flagged for verification by the appraisal system. The verification report shall record the method, the date and the name of the verifying officer.

7.5 Credit Information Reports

The Bank shall obtain a credit information report on the applicant and on every co-applicant and guarantor, from at least two credit information companies. A report shall not be obtained without the applicant's consent, which shall be recorded and which the applicant shall be told covers enquiries during the currency of the loan.

7.6 Acknowledgement and Turnaround

Every application shall be acknowledged with a reference number at the time of submission. The Bank shall communicate a decision within the turnaround time in Annexure C, and shall not leave an application undecided. Where a decision cannot be given within that time, the applicant shall be told the reason and the expected date.

7.7 Declined Applications

Where an application is declined, the Bank shall communicate the decision in writing within seven days, state the principal reason, and inform the applicant of the right to approach the grievance channel in Section 22. Documents furnished by a declined applicant shall be returned or destroyed on request, and shall not be retained beyond the period required by law.

8. Credit Appraisal

8.1 Basis of Appraisal

Every loan shall be appraised on the borrower's assessed capacity to repay from regular income over the tenure. Appraisal shall not rest on the value of any asset, on the strength of a guarantor alone, or on the expectation of refinancing.

8.2 Assessed Net Monthly Income

Assessed net monthly income is the borrower's regular income net of statutory deductions, averaged over the preceding six months for salaried applicants and over the preceding two completed financial years for others. Income that is non-recurring, including a bonus, an incentive not contractually assured, a one-time gain or an arrear payment, shall be excluded or discounted, and the treatment recorded.

8.3 Existing Obligations

Existing obligations comprise every instalment payable by the borrower on any credit facility from any lender, as disclosed by the borrower and as reflected in the credit information reports, together with the minimum amount due on every credit card held. Where the borrower's disclosure differs from the credit information reports, the higher figure shall be adopted unless the difference is explained and the explanation recorded.

8.4 Debt Burden Ratio

Assessed net monthly income	Maximum debt burden ratio
Up to Rs. 30,000	40%
Above Rs. 30,000 and up to Rs. 75,000	50%
Above Rs. 75,000 and up to Rs. 2,00,000	55%
Above Rs. 2,00,000	60%

The debt burden ratio shall include the instalment on the proposed loan. The maxima in this paragraph are ceilings and not entitlements; a lower ratio shall be applied where the appraisal indicates that the borrower's disposable income after obligations is inadequate. No exception to these ceilings may be granted.

8.5 Credit Score and Conduct

The credit information report shall be examined for the score, the conduct of existing facilities, the number of recent enquiries, the presence of any account classified as written off, settled, restructured or in default, and any suit-filed or wilful default entry. An application shall not be sanctioned solely because the score exceeds a threshold; the underlying conduct shall be examined and the assessment recorded.

8.6 Delegated Sanctioning Authority

Loan amount	Sanctioning authority
Up to Rs. 5,00,000	Credit Manager
Above Rs. 5,00,000 and up to Rs. 15,00,000	Senior Credit Manager

Loan amount	Sanctioning authority
Above Rs. 15,00,000 and up to Rs. 25,00,000	Regional Credit Head
Any amount where the debt burden ratio is within 5 percentage points of the ceiling	One level above the ordinary authority
Any amount to an applicant within paragraph 6.2	Head of Retail Lending

The officer who conducts the appraisal shall not be the officer who sanctions the loan.

8.7 Automated Decisioning

Where a loan is sanctioned through an automated decisioning model, the model shall be documented, validated independently before deployment and revalidated at least annually, and shall not use any input that is a proxy for a characteristic on which discrimination is prohibited under paragraph 6.5. Every automated decline shall be capable of being explained in terms of the principal factors that produced it, and the borrower shall be given that explanation on request. An automated approval remains subject to the ceilings in paragraph 8.4.

9. Pricing, Charges and the Key Facts Statement

9.1 Rate of Interest

Interest is charged on a monthly reducing balance. The rate applicable to a borrower is determined within the methodology approved by the Asset and Liability Committee, by reference to the assessed credit risk, the tenure, the loan amount, the employment category and the borrower's relationship with the Bank. The rate range for each variant shall be published on the Bank's website.

Variant	Indicative rate range per annum
FinTrust Personal Loan	10.50% to 24.00%
FinTrust Salary Advance	12.00% to 26.00%
FinTrust Top-up Loan	10.75% to 24.00%
FinTrust Balance Transfer	10.25% to 22.00%
FinTrust Medical Loan	10.50% to 18.00%

9.2 Fixed and Floating Rates

A personal loan may be sanctioned on a fixed or a floating rate, at the borrower's election recorded before sanction. On a floating rate loan the rate is linked to the external benchmark specified in the loan agreement and is reset at the frequency stated there. On each reset the borrower shall be informed of the revised rate, the revised instalment or tenure, and the option to switch to a fixed rate on payment of the switching charge.

9.3 Charges

Charge	Amount
Processing fee	Up to 2.00% of the sanctioned amount, minimum Rs. 1,000
Processing fee, Medical Loan	Up to 1.00% of the sanctioned amount
Documentation charge	Rs. 500
Instalment dishonour charge	Rs. 500 per instance
Rate switching charge, floating to fixed	0.50% of the outstanding principal
Duplicate statement or interest certificate	Nil
Amortisation schedule, any number of times	Nil
Foreclosure statement	Nil
No-objection certificate on closure	Nil
Loan account statement, annual	Nil

Goods and services tax applies to charges at the rate in force and is shown separately.

9.4 Charges Not to Be Levied

No charge shall be levied for prepayment of a floating rate loan; for a request to reduce the sanctioned amount before disbursement; for the correction of an error attributable to the Bank; for the making of a complaint; or for any service the borrower has not requested. No charge shall be levied that does not appear in the Key Facts Statement issued to that borrower.

9.5 Key Facts Statement

Before the borrower is asked to accept a sanction, the Bank shall furnish a Key Facts Statement in the prescribed format, in a language the borrower understands, setting out:

- The sanctioned amount, the tenure and the number of instalments.
- The rate of interest, whether fixed or floating, and where floating, the benchmark and the reset frequency.
- The annual percentage rate, computed to include the rate of interest and every fee and charge payable to the Bank or to any third party on the Bank's behalf, including any insurance premium financed as part of the loan.
- The instalment amount and the date of the first instalment.
- The total amount repayable over the tenure, and the total interest and charges component of it.
- Every contingent charge, including penal charges and dishonour charges.
- The details of any lending service provider involved and the recovery agent, if identified.
- The cooling-off or look-up period under paragraph 11.6, where applicable.
- The grievance escalation matrix and the contact details of the nodal officer.

The Key Facts Statement shall be furnished with a validity period of not less than three working days for loans of tenure seven days or more, during which the terms stated in it shall be held open. A charge not disclosed in the Key Facts Statement shall not be recovered from the borrower at any time during the currency of the loan.

9.6 Illustration

An illustration of the computation of the annual percentage rate and the amortisation of a representative loan is set out in Annexure B, and an equivalent illustration specific to the borrower's own loan shall accompany the Key Facts Statement.

10. Sanction, Agreement and Disbursement

10.1 Sanction Letter

On sanction, the Bank shall issue a sanction letter stating the amount, tenure, rate, instalment, charges, the conditions precedent to disbursement, and the validity of the sanction. The borrower's acceptance shall be obtained in writing or through an authenticated electronic channel, and a copy of the accepted letter shall be given to the borrower.

10.2 Loan Agreement

The loan agreement shall be executed before disbursement. A copy of the executed agreement, together with a copy of every document the borrower signed and every enclosure referred to in it, shall be furnished to the borrower free of charge at the time of execution, and the borrower's acknowledgement of receipt shall be obtained. The Bank shall not require the borrower to request these documents.

10.3 Conditions Precedent

Disbursement shall be made only after every condition precedent recorded in the sanction letter has been satisfied and verified, the agreement executed, the repayment mandate registered under Section 12, and the Key Facts Statement acknowledged.

10.4 Disbursement

Disbursement shall be made by credit to a bank account in the borrower's own name, or, in the cases in paragraphs 5.5 and 5.6, directly to the transferor lender or to the treatment provider on the borrower's written instruction. Disbursement shall not be made in cash, shall not be made to an account in the name of any third party, and shall not be routed through the account of a lending service provider, a direct selling agent or any other intermediary.

10.5 Net Disbursal and Deductions

Where the processing fee or any other charge is deducted from the sanctioned amount, the deduction shall be itemised in the disbursement advice, and the net amount credited shall be stated. Interest shall be charged only on the amount actually disbursed and from the date of actual disbursement.

10.6 Amortisation Schedule

An amortisation schedule showing the instalment-wise split of principal and interest and the closing outstanding shall be furnished at disbursement and shall be available to the borrower at any time thereafter free of charge. A revised schedule shall be issued within five business days of any event that changes it, including a rate reset, a part-payment or a restructuring.

10.7 Cancellation Before Disbursement

A borrower may cancel a sanction at any time before disbursement, without charge. Where a processing fee has been collected, it shall be refunded in full within seven business days, save where the sanction is cancelled after the Bank has incurred a third-party cost, in which case that cost alone may be retained and shall be itemised.

11. Digital Lending and Lending Service Providers

11.1 Application

This Section applies to every loan sourced, sanctioned or serviced through a digital lending application, and to every engagement of a lending service provider, whether or not the loan is otherwise digital.

11.2 The Bank Remains the Lender

The Bank is the lender in every case. A lending service provider acts as the Bank's agent and not as a principal. The Bank's obligations under this Policy and under law are not diminished by the involvement of a lending service provider, and an act or omission of such a provider is treated as an act or omission of the Bank.

11.3 Disclosure of the Provider

The identity of every lending service provider involved in the loan shall be disclosed to the borrower at the outset, in the Key Facts Statement, and on the Bank's website, where the Bank shall maintain a current list of all such providers with the activities each performs.

11.4 Flow of Funds

All disbursements shall be made directly from the Bank's account to the borrower's account, and all repayments directly from the borrower's account to the Bank's account. No pass-through, pool account or nodal account of a lending service provider shall be interposed in either direction, save for an account operated under an express regulatory or contractual escrow arrangement approved by Legal and Compliance.

11.5 Data Collected by Digital Channels

A digital lending application shall collect only such data as is necessary for the loan. It shall not seek access to the borrower's contact list, call log, photo gallery, files or messages. It may seek access to the camera, the microphone or location only where a specific and disclosed step of the process requires it, and only for the duration of that step. Access shall be sought at the time it is needed with a clear explanation, and refusal of an access not necessary for the loan shall not affect the application.

11.6 Look-up Period

For a loan sourced through a digital lending application, the borrower may exit the loan within a look-up period of three days from disbursement, or one day where the tenure is less than seven days, by repaying the principal together with the proportionate annual percentage rate for the period, and without any penalty. The borrower shall be told of this right in the Key Facts Statement and again in the disbursement advice. Exercise of the right shall not be reported adversely under Section 20.

11.7 Records and Grievances

Records of a digitally sourced loan, including the consents obtained and the disclosures made, shall be retained by the Bank and shall not be held solely by a lending service provider. A grievance concerning the conduct of a lending service provider shall be received and resolved by the Bank under Section 22, and the borrower shall not be directed to the provider.

11.8 Due Diligence and Monitoring

Before engagement, the Bank shall assess a lending service provider's capability, information security posture, conduct record and compliance history. Every engagement shall be governed by a written agreement providing for the requirements in this Section, audit rights, a prohibition on sub-contracting without consent, and an orderly exit. Performance and conduct shall be reviewed at least quarterly.

12. Repayment

12.1 Instalments

The loan is repayable in equated monthly instalments on the date stated in the loan agreement. The borrower may elect the instalment date from the options the Bank offers, and may change it once during the tenure without charge.

12.2 Mandate

Repayment shall be collected by direct debit under a mandate registered by the borrower. Where the repayment account is maintained with the Bank, the mandate is governed by the applicable account policy. Where it is maintained with another bank, the mandate shall be registered through the applicable electronic clearing framework.

12.3 Appropriation

Amounts received shall be appropriated in the following order:

Order	Component
1	Costs and expenses recoverable under the agreement
2	Penal charges
3	Other charges
4	Overdue interest
5	Overdue principal
6	Current instalment, interest component
7	Current instalment, principal component

The order of appropriation shall be stated in the loan agreement and reproduced in the Key Facts Statement.

12.4 Dishonour

Where an instalment is dishonoured, the Bank shall represent the mandate once, and shall inform the borrower of the dishonour on the day it occurs together with the reason and the amount of the dishonour charge. The mandate shall not be presented more than twice in a month.

12.5 Excess Payment

Where the borrower pays an amount exceeding what is due, the excess shall be applied as a part-payment under Section 13 if the borrower so instructs, and otherwise shall be held to the borrower's credit and adjusted against the next instalment. The Bank shall inform the borrower of the treatment applied.

12.6 Statements

A statement of account showing every debit and credit, the outstanding principal, and the interest charged shall be furnished annually without charge, and at any time on request without charge. An interest certificate shall be furnished annually without charge.

13. Prepayment, Part-Payment and Foreclosure

13.1 Right to Prepay

A borrower may prepay a personal loan in whole or in part at any time. The Bank shall not require a minimum period to have elapsed, shall not require a minimum number of instalments to have been paid, and shall not require the borrower to state a reason.

13.2 Charges on Prepayment

Rate type	Foreclosure or part-payment charge
Floating rate, any borrower	Nil
Fixed rate, within 12 months of disbursement	Up to 4% of the amount prepaid
Fixed rate, after 12 months and up to 24 months	Up to 3% of the amount prepaid
Fixed rate, after 24 months	Up to 2% of the amount prepaid
Any rate type, where prepayment is from the borrower's own sources and the loan is a Salary Advance	Nil
Any rate type, within the look-up period under 11.6	Nil

No charge shall be levied on prepayment of a floating rate loan in any circumstance. Where a charge is leviable, it shall have been disclosed in the Key Facts Statement, and shall be computed on the amount prepaid and not on the original sanctioned amount.

13.3 Foreclosure Statement

The Bank shall furnish a foreclosure statement, showing the outstanding principal, accrued interest to the proposed date of closure, any charge leviable and the total payable, within two business days of a request, free of charge and without limit on the number of requests.

13.4 Effect of Part-Payment

On a part-payment, the borrower shall be given the option of reducing the instalment or reducing the tenure, and shall be told the effect of each in figures before electing. Where the borrower does not elect, the tenure shall be reduced. A revised amortisation schedule shall be issued within five business days.

13.5 Interest on Prepayment

Interest shall be charged only up to the date on which the prepayment is credited. Interest shall not be charged for any period after that date, and no instalment falling due after that date shall be collected.

14. Co-applicants, Guarantors and Insurance

14.1 Co-applicants

A loan may be taken jointly by not more than two co-applicants. Every co-applicant is jointly and severally liable for the whole of the amount due, and shall be appraised, verified and reported on as a borrower. The income of a co-applicant may be aggregated for the purpose of paragraph 8.4 only where the co-applicant is a spouse, parent or child of the applicant.

14.2 Guarantors

A guarantee shall be sought only where the appraisal requires it, and the reason shall be recorded. A guarantor shall be furnished, before executing the guarantee, with the sanctioned amount, the tenure, the rate, the instalment and a statement of the extent and duration of the liability being assumed. A guarantor shall be informed of any default within thirty days of its occurrence, and of any proposal to restructure the loan before it is given effect.

14.3 Insurance Is Optional

Credit life insurance and any other insurance offered in connection with a loan is optional. The Bank shall not make the sanction, the rate, the amount or the tenure of a loan conditional on the purchase of insurance, and shall not represent that insurance is required. Consent to insurance shall be obtained separately from consent to the loan, in a separate document or a separately acknowledged section, after disclosure of the premium, the sum assured, the term, the insurer and the exclusions.

14.4 Financed Premium

Where an insurance premium is financed as part of the loan, it shall be included in the annual percentage rate disclosed in the Key Facts Statement, shown separately in the disbursement advice, and shown separately in the amortisation schedule.

14.5 Refund on Prepayment

Where a loan carrying a financed insurance premium is prepaid in full, the Bank shall inform the borrower of the right to seek a proportionate refund of the premium from the insurer, and shall assist in making the request without charge.

14.6 Nomination and Death of the Borrower

On the death of a borrower, the Bank shall inform the legal representatives of the outstanding amount and of any insurance that may respond, and shall assist in filing the claim. The Bank shall not commence recovery action against the legal representatives while an insurance claim is pending, and shall not contact any person other than the legal representatives in connection with the amount due.

15. Monitoring, Delinquency and Classification

15.1 Portfolio Monitoring

The Retail Lending Group shall monitor the personal loan portfolio monthly by vintage, variant, sourcing channel, employment category, debt burden ratio band and credit score band, and shall report to the Risk Management Committee quarterly on delinquency trends and early warning indicators.

15.2 Early Warning

The following shall be treated as early warning indicators in respect of an individual borrower: a dishonoured instalment; a decline in salary credits observed in a linked account; a new enquiry pattern in the credit information report indicating credit-seeking behaviour; the classification of another facility of the borrower as overdue; and a change of employment reported or observed within twelve months of disbursement.

15.3 Special Mention Account Classification

Classification	Condition
SMA-0	Principal or interest overdue between 1 and 30 days
SMA-1	Principal or interest overdue between 31 and 60 days
SMA-2	Principal or interest overdue between 61 and 90 days

Days past due are counted from the date on which the amount fell due. Classification is at the level of the borrower's account, is updated at the end of each day, and shall not be deferred, reversed or suppressed for any commercial reason.

15.4 Non-Performing Asset Classification

A loan shall be classified as a non-performing asset where any amount of interest or principal remains overdue for more than ninety days. Classification shall be made by the system on the basis of the record of recovery, without discretion. Upgrade from non-performing to standard shall be made only when the entire arrears of interest and principal have been paid, and not on part payment.

15.5 Prohibition on Evergreening

A loan shall not be sanctioned, restructured, topped up or extended for the purpose of enabling the repayment of an existing loan of the same borrower so as to avoid or defer classification. Any proposal that would have that effect shall be referred to Credit Risk, and any instance detected shall be reported to the Audit Committee.

15.6 Notice of Default

On an amount becoming overdue, the Bank shall inform the borrower within three business days, stating the amount overdue, the date it fell due, the penal charge applicable, the consequence for classification and credit reporting, and the channels available to discuss the position. A further notice shall be issued at 30, 60 and 85 days past due, the last of which shall state expressly that classification as a non-performing asset will follow at 90 days.

16. Penal Charges

16.1 Character of a Penal Charge

A charge levied for default in performance of a term of the loan is a penal charge and not a penal rate of interest. It shall not be added to the rate of interest, shall not be capitalised, and shall not itself attract interest.

16.2 Basis

Penal charges shall be reasonable, shall be commensurate with the default, and shall be applied uniformly to all borrowers within a variant. The Bank shall not differentiate the penal charge by reference to the borrower's income, category or relationship value.

16.3 Quantum

Default	Penal charge
Instalment overdue	2% per annum on the overdue amount for the period of the overdue, subject to a maximum of Rs. 500 per instalment per month
Instalment dishonour	Rs. 500 per instance, as in paragraph 9.3
Non-submission of a document undertaken to be furnished	Rs. 250 per month, maximum Rs. 1,000

Penal charges shall be levied on the overdue amount alone and not on the entire outstanding.

16.4 Disclosure

The quantum and the reason for every penal charge shall be disclosed in the loan agreement and in the Key Facts Statement, and shall be displayed on the Bank's website. Each time a penal charge is levied, the borrower shall be informed of the amount and the reason within three business days.

16.5 Waiver

A penal charge shall be waived where the default arose from an error of the Bank, from a failure of the payment system, or from a delay in the credit of a salary or pension into the repayment account for a reason not attributable to the borrower. A waiver on grounds of hardship may be granted by the Regional Credit Head, recorded with reasons.

16.6 Reversal on Regularisation

Where the borrower regularises an overdue amount within seven days of the due date, and has had no other overdue in the preceding twelve months, the penal charge shall be reversed automatically without the borrower having to request it.

17. Collections and Recovery Conduct

17.1 Overriding Provision

This Section admits of no exception. No officer of the Bank, at any level, may authorise a departure from it, and no circumstance of exposure, delay or borrower conduct justifies one. A breach of this Section by an employee is a disciplinary matter and by an agent is a ground for immediate termination of the engagement.

17.2 Permitted Hours and Manner

Contact with a borrower for the purpose of recovery shall be made only between 8 a.m. and 7 p.m. The caller shall identify themselves by name, state that they are calling on behalf of FinTrust Bank Limited, state the loan account reference, and state the purpose of the call. Contact shall be made in a language the borrower understands.

17.3 Prohibited Conduct

The following are prohibited in every circumstance:

- Any threat, intimidation, abuse, obscenity or humiliation, whether spoken, written or implied.
- Any threat of consequences that the Bank is not lawfully entitled to pursue, including any threat of criminal proceedings for the mere non-payment of a debt.
- Contact with the borrower's relatives, neighbours, employer, colleagues or any other third party in relation to the debt, save that a person given by the borrower as a reference may be contacted once, and only to establish the borrower's whereabouts where the borrower cannot be reached.
- Disclosure of the debt, or of any detail of it, to any person other than the borrower, a co-applicant, a guarantor or the borrower's authorised representative.
- Visiting the borrower's residence or workplace outside permitted hours, or visiting the workplace at all where the borrower has asked that it not be visited.
- Persisting with contact after the borrower has stated that they are unable to speak at that time, or making contact at a frequency amounting to harassment.
- Contacting the borrower at a time or on a day the borrower has notified as one on which contact should not be made, for reasons of bereavement, illness or religious observance.
- Retaining or seeking to retain any personal property of the borrower.
- Any communication designed to be seen by third parties, including a message on a postcard, a notice affixed at a residence, or a communication naming the borrower in a public forum.

17.4 Frequency

Contact shall not be made more than three times in a calendar week across all channels, save where the borrower has asked to be contacted or has agreed to a call at a particular time. A field visit shall not be made more than once in a calendar month without the approval of the Regional Credit Head.

17.5 Recovery Agents

Where the Bank engages a recovery agent, it shall furnish the borrower with the agent's name and contact details before the agent makes contact. Agents shall be trained and certified, shall carry an authorisation letter and photograph identification, and shall be bound by this Section in their engagement agreement. A borrower may at any time ask that the Bank deal with them directly rather than through an agent, and the Bank shall comply.

17.6 Recording and Complaints

Every recovery contact shall be logged with the date, time, channel, the person making the contact and the outcome. Recovery calls shall be recorded and retained for one year. A complaint of a breach of this Section shall be investigated by Compliance, independently of the collections function, and concluded within twenty-one days. The outcome shall be reported to the Head of Retail Lending and, where the complaint is upheld, to the Risk Management Committee.

17.7 Legal Proceedings

Legal proceedings shall be commenced only after the borrower has been given notice of the intention to do so, an opportunity to be heard, and an opportunity to be considered for restructuring under Section 18. Commencement requires the approval of the Head of Retail Lending on the recommendation of Legal.

18. Restructuring and Hardship

18.1 Principle

A borrower whose circumstances have changed such that the existing repayment terms are no longer sustainable shall be considered for restructuring before enforcement is pursued. Restructuring is a credit decision and not a concession granted at discretion; it shall be assessed on the borrower's revised capacity to repay.

18.2 How a Borrower Raises It

A borrower may ask to be considered at any time, through any channel in paragraph 22.1. The Bank shall acknowledge the request within two business days, shall tell the borrower what information is required, and shall communicate a decision within fifteen business days of receiving complete information. Recovery contact under Section 17 shall continue during this period only to the extent necessary to progress the request.

18.3 Options

Restructuring may take the form of an extension of tenure, a reduction of the instalment with a corresponding extension, a moratorium on principal for a defined period, a revised instalment date, or a combination of these. A moratorium shall not exceed six months, and interest shall continue to accrue during it. The borrower shall be told, in figures, the effect of each option on the total amount repayable before electing.

18.4 Disclosure of Consequences

Before a restructuring is given effect, the Bank shall tell the borrower in writing that the restructured facility will be reported under Section 20 with the applicable indicator, and what effect that reporting is likely to have on the borrower's access to credit. Restructuring shall not be presented as being without consequence.

18.5 Documentation and Schedule

A restructuring shall be documented by a supplementary agreement, and a revised amortisation schedule shall be furnished within five business days. No fresh processing fee shall be charged on a restructuring, and no charge shall be levied for the supplementary documentation.

18.6 Settlement

Where the Bank agrees to accept an amount in full and final settlement of a larger sum, the agreement shall be recorded in writing, shall state the amount, the date by which it is payable and the consequences of failure to pay, and shall state expressly that the account will be reported as settled and what that means for the borrower. A settlement shall be approved by the Head of Retail Lending. On receipt of the settled amount, a no-dues confirmation shall be issued within seven business days.

19. Closure and Post-Closure Obligations

19.1 Closure

A loan is closed when the entire amount due, comprising principal, interest, charges and any penal charge, has been received. On closure the Bank shall stop the repayment mandate, cease all interest accrual, and refund any amount received in excess within seven business days.

19.2 No-Objection Certificate

A no-objection certificate confirming closure shall be issued within seven business days of closure, free of charge and without the borrower having to request it. It shall state the loan account reference, the date of closure and that no amount remains due.

19.3 Return of Documents

Every original document furnished by the borrower and retained by the Bank shall be returned within fifteen business days of closure, at the branch of the borrower's choosing, against acknowledgement. Where a document is lost or cannot be traced, the Bank shall tell the borrower within the same period, shall assist in obtaining a duplicate at its own cost, and shall compensate the borrower at Rs. 500 per day from the expiry of the fifteen business days until the duplicate is furnished.

19.4 Cancellation of Mandates

The Bank shall cancel the repayment mandate within three business days of closure and shall confirm the cancellation to the borrower. Where an instalment is collected after closure through a mandate not cancelled in time, the amount shall be refunded within three business days together with compensation at Rs. 100 per day of delay.

19.5 Credit Information Update

The credit information companies shall be updated within thirty days of closure to show the account as closed with a nil outstanding. The borrower shall be told when the update has been made.

20. Credit Information Reporting

20.1 What Is Reported

The Bank shall report to credit information companies each month the existence of the loan, the sanctioned amount, the outstanding balance, the amount overdue if any, the number of days past due, and the status of the account including any restructuring, settlement or write-off.

20.2 Notice Before an Adverse Report

Before an amount is reported as overdue on a loan for the first time, the Bank shall send the borrower a notice stating what it intends to report and when, so that the borrower has an opportunity to pay or to state that the report would be incorrect. This notice may be combined with the notice under paragraph 15.6.

20.3 Correction

Where a borrower states that something reported is incorrect, the Bank shall investigate and communicate the outcome within thirty days. Where the report was incorrect, the Bank shall correct it with every credit information company to which it was sent within seven days of reaching that conclusion, shall confirm the correction to the borrower, and shall pay compensation of Rs. 100 per day from the expiry of the thirty days until the correction is made.

20.4 Enquiries

An enquiry shall be made against a person's credit information record only with that person's consent and only for a purpose permitted by law. An enquiry shall not be made for marketing a pre-approved offer unless the person has consented to receive such offers.

20.5 Accuracy

The Bank shall reconcile its reported data against its books monthly, and shall investigate and correct any discrepancy. The number of correction requests received, the proportion upheld, and the time taken shall be reported quarterly to the Customer Service Committee.

21. Confidentiality, Data Protection and Fair Practices

21.1 Confidentiality

Information relating to a borrower and to the loan is confidential, and the duty survives closure. Disclosure is permitted only where compelled by law or an order of a competent authority, where there is a duty to the public to disclose, where the interests of the Bank require it and then only to the minimum extent necessary, or where the borrower has given express and informed consent. Reporting under Section 20 is disclosure required by law and does not require separate consent on each occasion.

21.2 Collection and Use of Data

The Bank shall collect only such data as is necessary for the appraisal and servicing of the loan, shall tell the borrower the purposes at the time of collection, and shall not use it for any incompatible purpose. Data collected for appraisal shall not be used to market an unrelated product without separate consent.

21.3 Retention

Loan records shall be retained for eight years from closure, or until the conclusion of any proceeding relating to the loan, whichever is later. Records of a declined application shall be retained for three years and then destroyed.

21.4 Access and Correction

A borrower is entitled to a copy of the information held about them and to require correction of any inaccuracy. A correction request shall be given effect within ten business days or refused in writing with reasons.

21.5 Fair Practices

The Bank adopts the following as binding standards of conduct:

- Every communication with a borrower shall be in a language the borrower understands.
- The Bank shall not interfere in the affairs of a borrower except as provided in the loan agreement, and shall not seek information about matters unconnected with the loan.
- Where the Bank has agreed to a request, it shall act on it within the stated turnaround time and shall not require the borrower to repeat the request.
- The Bank shall not transfer a loan to a third party without the borrower's knowledge, and shall inform the borrower of the transferee and of the borrower's rights on any transfer.
- Where the Bank seeks additional security or a guarantee during the currency of a loan, it shall record the reason and shall not do so as a routine response to delinquency.

21.6 Security and Outsourcing

Access to borrower data shall be on the principle of least privilege and shall be logged, with logs reviewed monthly. A service provider handling borrower data shall be bound by confidentiality obligations no less stringent than the Bank's own, shall be subject to audit, and shall not sub-contract without written consent. A suspected breach shall be reported to the Chief Information Security Officer within two hours of detection, and affected borrowers notified without undue delay where harm is likely.

22. Grievance Redressal, Roles and Policy Review

22.1 Grievance Channels and Escalation

A grievance may be lodged at any branch, through the contact centre, through the complaint form on the Bank's website or digital lending application, by letter, or by electronic mail to the published grievance address. Every grievance shall be acknowledged, tracked through a unique reference number, and closed only with a substantive response. A grievance concerning the conduct of a lending service provider or a recovery agent shall be received and resolved by the Bank and the borrower shall not be directed to that party.

Level	Authority	Resolution time
1	Branch Manager or Loan Service Manager	7 business days
2	Regional Nodal Officer	14 business days
3	Principal Nodal Officer	21 business days
4	Internal Ombudsman	30 days
5	External Banking Ombudsman	As prescribed by the scheme

A grievance the Bank proposes to reject wholly or partly shall be referred to the Internal Ombudsman before the decision is communicated. The right to approach the external Banking Ombudsman shall be stated in every final response.

22.2 Responsibility Matrix

Role	Responsibility
Board of Directors	Approval of the Policy; oversight of its operation
Risk Management Committee	Recommendation of the Policy; delinquency and exception reporting
Audit Committee	Evergreening instances; credit audit findings
Asset and Liability Committee	Interest rate methodology and benchmark
Product and Pricing Committee	Rates within the methodology; charges; income thresholds
Head of Retail Lending	Policy ownership; settlements; legal proceedings; agent conduct
Chief Risk Officer	Credit standards in Section 8; classification integrity in Section 15
Regional Credit Head	Sanctions within delegation; penal charge waivers; field visit approvals
Head of Compliance	Regulatory alignment; independent investigation of Section 17 complaints
Internal Audit	Independent assurance, including credit audit and classification verification

22.3 Approval Authority for Exceptions

Exception type	Approving authority
Sanction to an applicant within paragraph 6.2	Head of Retail Lending
Sanction where DBR is within 5 points of the ceiling	One level above ordinary authority
Penal charge waiver on hardship grounds	Regional Credit Head
More than one field visit in a month	Regional Credit Head
Full and final settlement	Head of Retail Lending
Commencement of legal proceedings	Head of Retail Lending on Legal's recommendation
Departure from the DBR ceilings in 8.4	Not permitted
Departure from Section 15, 16 or 17, or paragraph 9.5	Not permitted

22.4 Monitoring

Compliance shall conduct thematic testing at least twice each financial year, covering appraisal and income verification quality, debt burden ratio compliance, Key Facts Statement issuance and accuracy of the annual percentage rate, disbursement routing under paragraph 10.4, digital lending consents and data access, classification integrity, penal charge computation, collection conduct, restructuring handling and credit reporting accuracy. Credit Risk shall separately conduct a credit audit of a sample of sanctions each quarter.

22.5 Key Indicators

- Applications received, sanctioned, declined and withdrawn, by channel.
- Proportion of sanctions with complete income verification at first submission.
- Distribution of sanctions by debt burden ratio band, and sanctions within 5 points of the ceiling.
- Proportion of borrowers issued a Key Facts Statement before acceptance, and instances of a charge levied that was not in it.
- Loans exited within the look-up period.
- Delinquency by vintage and channel; SMA-1 and SMA-2 balances; slippage to non-performing.
- Restructuring requests received, decided within fifteen business days, and approved.
- Complaints alleging breach of Section 17, and the proportion upheld.
- No-objection certificates issued within seven business days; documents returned within fifteen business days.
- Credit information correction requests, upheld proportion and turnaround.

22.6 Training

Every member of staff in a role involving origination, appraisal, servicing or collection shall complete certification on this Policy within thirty days of joining and annually thereafter. Certification on Section 17 is a condition of authorisation to make recovery contact, and applies equally to the staff of every agent engaged by the Bank.

22.7 Policy Review and Amendment

This Policy shall be reviewed at least once every financial year by the Retail Lending Group in consultation with Credit Risk, Compliance, Legal, Operations and the Chief Risk Officer, and placed before the Board through the Risk Management Committee. An interim amendment may be initiated on a change in

regulatory direction, the introduction or withdrawal of a variant, a finding from audit, credit audit or thematic testing, or a material adverse trend in delinquency or grievance data. Where a regulatory direction takes effect before the Policy can be amended, the direction applies from its effective date and Compliance shall issue an interim instruction. An approved amendment shall be communicated to staff within seven days, incorporated into training within thirty days, reflected in the Key Facts Statement format and the loan agreement within thirty days, and notified to borrowers where it affects them. The version history is maintained in Annexure D and superseded versions retained for ten years.

Annexure A: Documentation by Employment Category

A.1 Common Requirements

- Completed and signed application form.
- Officially valid document establishing identity and address, as listed in the Savings Account Policy.
- Recent photograph and permanent account number.
- Bank statements for the preceding six months for every account not maintained with the Bank.
- Consent to obtain credit information reports.
- Acknowledged Key Facts Statement before acceptance of sanction.

A.2 Additional Requirements

Category	Additional documents
Salaried, Category A employer	Salary slips for 3 months; employment identity card; salary account statement where not with the Bank
Salaried, other employer	Salary slips for 6 months; appointment letter or employment certificate; Form 16 for the preceding year
Self-employed professional	Certificate of practice or professional registration; income tax returns with computation for 2 years; practice account statements for 12 months
Self-employed, business income	Income tax returns with computation for 3 years; audited financial statements for 2 years; business registration or tax registration; current account statements for 12 months
Pensioner	Pension payment order; pension account statement for 6 months; proof of date of birth
Balance transfer applicant	Statement of account and outstanding from the transferor lender; repayment track record for 12 months; foreclosure statement
Co-applicant or guarantor	Full documentation as for the applicable category; separate consent for credit information enquiry
Loan through a lending service provider	Record of consents captured digitally; disclosure of the provider acknowledged by the applicant

Annexure B: Illustrative Key Facts Statement

B.1 Loan Particulars

Item	Detail
Loan variant	FinTrust Personal Loan
Sanctioned amount	Rs. 5,00,000
Rate of interest, fixed	14.00% per annum, monthly reducing balance
Tenure	48 months
Equated monthly instalment	Rs. 13,663
Date of first instalment	05 of the month following disbursement
Processing fee, 2.00%	Rs. 10,000
Documentation charge	Rs. 500
Goods and services tax on fees, 18%	Rs. 1,890
Credit life insurance premium, financed, optional	Rs. 8,000
Net amount credited to the borrower	Rs. 4,79,610

B.2 Cost of the Loan

Item	Amount
Sanctioned amount on which interest is charged	Rs. 5,00,000
Less: fees, charges and tax deducted at disbursement	Rs. 12,390
Less: financed insurance premium deducted at disbursement	Rs. 8,000
Amount actually received by the borrower	Rs. 4,79,610
Total of 48 instalments of Rs. 13,663	Rs. 6,55,824
Of which, principal	Rs. 5,00,000
Of which, interest	Rs. 1,55,824
Total amount repayable	Rs. 6,55,824
Annual percentage rate	16.29%

The annual percentage rate of 16.29% is higher than the rate of interest of 14.00% because the borrower receives Rs. 4,79,610 but pays interest computed on Rs. 5,00,000. The fees, the tax on them and the financed premium are deducted at disbursement, so the borrower has the use of less money than the amount on which the loan is priced.

B.3 Contingent Charges

Event	Charge
Instalment overdue	2% per annum on the overdue amount, maximum Rs. 500 per instalment per month

Event	Charge
Instalment dishonour	Rs. 500 per instance
Foreclosure within 12 months, fixed rate	4% of the amount prepaid
Foreclosure after 24 months, fixed rate	2% of the amount prepaid

B.4 Points to Note from the Illustration

- The borrower receives Rs. 4,79,610 but repays interest computed on Rs. 5,00,000. This is why the annual percentage rate exceeds the rate of interest.
- The insurance premium of Rs. 8,000 is optional. Declining it would increase the amount actually received to Rs. 4,87,610 and reduce the annual percentage rate to 15.37%, with the instalment and the total repayable unchanged. Declining it would not affect the sanction, the rate or the tenure.
- Had the loan been taken at a floating rate, no foreclosure charge would be payable at any time.
- Penal charges are not included in the annual percentage rate because they are contingent on default and are not certain to arise.

Annexure C: Turnaround Time and Compensation Matrix

Event	Timeline	Compensation for delay
Acknowledgement of application	At submission	Nil
Decision on a complete application, digital channel	2 business days	Nil
Decision on a complete application, branch	7 business days	Nil
Communication of a decline with reason	7 days	Nil
Validity of the Key Facts Statement	Not less than 3 working days	Not applicable
Copy of loan agreement and enclosures	At execution	Nil
Disbursement after conditions precedent satisfied	2 business days	Nil
Amortisation schedule at disbursement	At disbursement	Nil
Revised schedule after a change	5 business days	Nil
Refund of processing fee on pre-disbursement cancellation	7 business days	Nil
Look-up period for a digitally sourced loan	3 days from disbursement	Not applicable
Foreclosure statement	2 business days	Nil
Notice of an amount becoming overdue	3 business days	Not applicable
Notice before non-performing classification	At 85 days past due	Not applicable
Notice of a penal charge levied	3 business days	Not applicable
Acknowledgement of a restructuring request	2 business days	Nil
Decision on a restructuring request	15 business days	Nil
Investigation of a Section 17 conduct complaint	21 days	Nil
No-dues confirmation after settlement	7 business days	Nil
Refund of excess on closure	7 business days	Nil
No-objection certificate on closure	7 business days	Nil
Return of original documents	15 business days	Rs. 500 per day
Cancellation of repayment mandate	3 business days	Rs. 100 per day on wrongly collected instalment
Credit information update on closure	30 days	Nil
Investigation of a credit information error	30 days	Rs. 100 per day thereafter
Correction of a credit information error	7 days from conclusion	Nil
Correction of borrower information	10 business days	Nil
Grievance, Level 1	7 business days	Nil

Event	Timeline	Compensation for delay
Grievance, Level 2	14 business days	Nil
Grievance, Level 3	21 business days	Nil

Annexure D: Abbreviations and Version History

D.1 Abbreviations

Abbreviation	Expansion
ALCO	Asset and Liability Committee
APR	Annual Percentage Rate
CIC	Credit Information Company
DBR	Debt Burden Ratio
DPD	Days Past Due
DSA	Direct Selling Agent
EMI	Equated Monthly Instalment
KFS	Key Facts Statement
LSP	Lending Service Provider
NOC	No-Objection Certificate
NPA	Non-Performing Asset
OVD	Officially Valid Document
SMA	Special Mention Account
TAT	Turnaround Time

D.2 Version History

Version	Date	Approved by	Summary of change
5.0	17 March 2021	Board of Directors	Consolidated reissue
5.1	08 November 2021	Product and Pricing Committee	Revision of rate ranges and processing fee
6.0	24 August 2022	Board of Directors	Introduction of Section 11 digital lending framework; prohibition on pass-through accounts
6.1	15 May 2023	Product and Pricing Committee	Revision of income thresholds; introduction of Medical Loan variant
7.0	29 January 2024	Board of Directors	Introduction of Section 16; penal interest replaced by penal charges; rewrite of Section 17
7.1	12 December 2024	Board of Directors	Introduction of the Key Facts Statement and annual percentage rate disclosure in Section 9; addition of Annexure B
7.2	14 April 2026	Board of Directors	Current version. Foreclosure charges removed on all floating rate loans; DBR ceilings made non-waivable; addition of Annexure C